



Track and Systems Construction Contract

TSCC Letter Agreement

This TSCC Letter Agreement (the "Letter Agreement") is made and entered into as of June 1, 2026, ("Effective Date"), by and between the California High Speed Rail Authority (the "Authority"), and Kiewit, Stacy Witbeck, Herzog – A Joint Venture (the "TSCC Contractor"), each individually known as a "Party" and collectively as the "Parties."

RECITALS

- A. The Authority is responsible for the planning, design, construction and operation of the first high-speed rail system in the nation (the "**HSR System**").
- B. The Authority has been authorized by its Board of Directors (the "**Board**") pursuant to section 185036(a) of the California Public Utilities Code and Resolution #HSRA 19-11 to design and build the track and overhead contact systems ("**OCS**") for the 171-mile early operating segment of the HSR System, as well as the design, construction and testing for the traction power system, train control system, telecommunications systems, security, and Supervisory Control and Data Acquisition ("**SCADA**") systems (the "**Project**").
- C. On November 20, 2025, the Authority approved and authorized the issuance of a Request for Proposals (as amended, "**RFP**") for the Project.
- D. An RFP evaluation committee determined that TSCC Contractor's Proposal best met the criteria contained in the RFP, and the Authority subsequently recommended that the TSCC Agreement (the "**Agreement**") be awarded to TSCC Contractor. On June 1, 2026, the Board accepted the recommendation to award the Agreement to TSCC Contractor.
- E. During limited negotiations for the Agreement, the Parties acknowledged certain matters relating to the Agreement that would require initial collaboration between the Parties in order to resolve the matters, resulting in this Letter Agreement memorializing such matters and processes to resolve them.
- F. This Letter Agreement confirms the understanding of the Parties related to the certain matters addressed herein relating to the Agreement.

NOW, THEREFORE, for good and valuable consideration, the Parties agree as follows:

AGREEMENT

1. DEFINITIONS, INTERPRETATION AND MISCELLANEOUS

- 1.1 Capitalized terms used, but not otherwise defined, in this Letter Agreement shall have the meanings provided in the Agreement.
- 1.2 Unless the context otherwise requires, the rules of interpretation applicable to the Agreement shall apply to this Letter Agreement.

2. PACKAGE 2 PRICING REVISIONS

- 2.1 The Parties acknowledge that TSCC Contractor's Package 2 Final Package Price, submitted with its Proposal, was based on Design Documents provided to all Proposers.



- 2.2 Pursuant to Work Order No. 1, TSCC Contractor shall review the 100% Design Documents for constructability and shall prepare and propose on an Open Book Basis a revised Final Package Price for Package 2 related only to changes in the Design Documents that occurred between the submission of Proposals and the completion of 100% Design Documents and that impact the Final Package Price.
- 2.3 In addition to revised pricing based on the Work performed by TSCC Contractor pursuant to Work Order No. 1, TSCC Contractor shall also be permitted to propose on an Open Book Basis a revised Final Package Price based on any revised delivery dates or delivery methods for Authority-Provided Materials, provided such revised delivery dates or delivery methods result in an impact to the Final Package Price. If a revised Final Package Price, either decreasing or increasing the Final Package Price for Package 2, is agreed, the Parties shall also determine if an adjustment to the Bonded Sum under any Performance Bond or Payment Bond provided by TSCC Contractor is required.
- 2.4 Prior to the commencement of laying track in the Package 2 work area, the Parties shall mutually agree to Package 2 construction sequencing and, in accordance with such sequencing, determine any necessary revisions to Authority-Provided Materials' delivery methods or the delivery dates for Authority-Provided Materials set forth in the Instructions to Proposers, Attachment D, as follows:

Authority-Provided Material	Availability Date
Ballast	September 1, 2026
Cross Ties	October 1, 2026
Rail	November 1, 2026
Catenary Pole	February 1, 2027
OCS Components	February 1, 2027
Cable Troughs	October 1, 2026
Cables	March 1, 2027

3. SMALL BUSINESS, DISABLED VETERAN BUSINESS ENTERPRISE, AND DISADVANTAGED BUSINESS ENTITY PARTICIPATION

- 3.1 The Parties acknowledge that, in accordance with Schedule 39 of the Agreement and by Law, the Authority is required to establish Small Business ("SB") and Disabled Veteran Business Enterprise ("DVBE") goals applicable to the Project, and the Authority is required to establish a Disadvantaged Business Enterprise program in compliance with Law, including the Interim Final Rule issued by the United States Department of Transportation on October 3, 2025.
- 3.2 TSCC Contractor has certified in its Proposal that it will make best efforts to meet or exceed any SB, DVBE, or DBE goals under the Agreement.
- 3.3 TSCC Contractor acknowledges it shall comply with communication plan requirements set forth in Schedule 39, including submission of monthly reports detailing the information communicated to SBs, DVBEs, and DBEs, and for providing monthly progress reporting to the Authority regarding SB, DVBE, and DBE utilization.



- 3.4 The Parties agree that, in the spirit of the SB/DVBE/DBE program and the Authority's commitment thereto, as a part of the negotiation of each Package, the Parties shall work collaboratively to identify opportunities for SBs, DVBEs, and DBEs, and shall engage in an on-going collaborative process to ensure SBs, DVBEs, and DBEs are made aware of the such identified opportunities to Subcontract on this Project.

4. INSURANCE REQUIREMENTS

- 4.1 The Parties acknowledge that, in accordance with Schedule 25 of the Agreement, TSCC Contractor is required to provide certain insurances and to enroll, and ensure eligible Subcontractors enroll, in the Authority's Owner Controlled Insurance Program ("OCIP"), depending upon the Package.
- 4.2 The requirements in Schedule 25 were included in the Request for Proposals, and TSCC Contractor has priced and will comply with said requirements.
- 4.3 The Parties agree that, in the process of negotiating the Final Package Price for a Package, or revising a Final Package Price for a Package, the Parties shall review the insurance requirements for the Package and shall engage in an on-going collaborative process to ensure the appropriate levels of insurance and protection are provided to the Authority and for the Project, dependent upon the nature and type of Work within the Package.

Except as specifically amended by this Letter Agreement, the terms and conditions of the Agreement shall remain in full force and effect. This Letter Agreement may be executed in two or more counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument.

[Signatures follow]



IN WITNESS WHEREOF, this Letter Agreement has been executed as of June 1, 2026.

TSCC Contractor:

Kiewit-Stacy Witbeck-Herzog, A Joint Venture

By: Eric M Scott

Name: Eric Scott

Title: Attorney-in-Fact

Contractor's License No.:

The Authority:

CALIFORNIA HIGH-SPEED RAIL AUTHORITY

By: Ian Chouard

Name: IAN CHOUARD

Title: CEO

